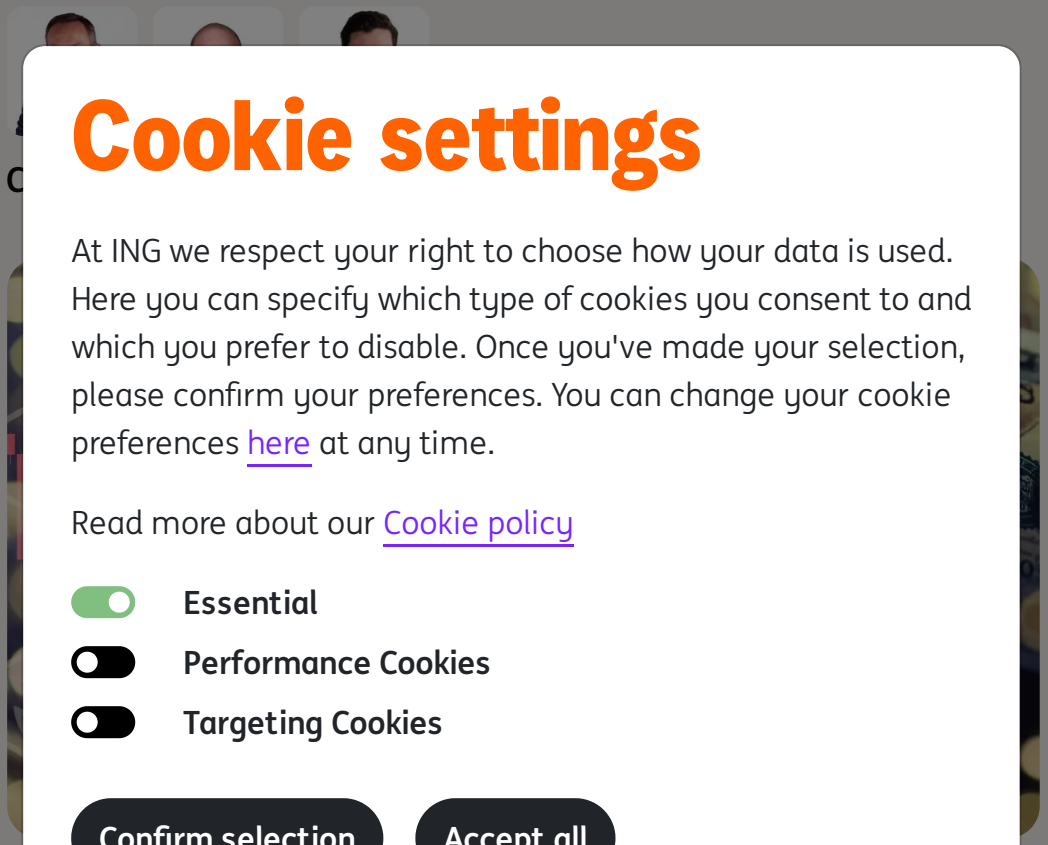
At the start of a very busy week for FX markets, the dollar is largely holding onto recent gains. In focus are the US midterms, where betting markets attach a 70% probability to a clean sweep for the Democrats. Away from politics, we'll receive updates on the US jobs market this week and are expecting rate hikes in the UK, Australia and Sweden



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USD: Contemplating the midterms

The dollar is fractionally lower at the start of the week. It may be taking its cue from oil prices, which are off 2-3% on reports that US President Donald Trump wants to let diplomacy run its course with Iran. That reverses Friday's sentiment, where some had positioned for a fresh attack this weekend. Please see our latest thoughts on the oil market here.

In focus this week are the US midterm elections. Betting websites give the Democrats a 70-72% chance of taking both the House and the Senate. One could make the case that the dollar should come lower on such an outcome, since it would likely lead to gridlock on the debt ceiling, a prolonged government shutdown next year and could encourage President Trump to pursue an even more activist foreign policy agenda. Many of those views are speculative, however. What is not speculative is the US economy posting a strong 3.4% quarter-on-quarter annualised growth rate in the third quarter, inflation remaining above target for a sixth year in a row, and the Federal Reserve readying to tighten again.

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Chris Turner

EUR: Fitch puts the boot in

Unwelcome news for French politicians late Friday came in the form of an unscheduled ratings review from Fitch. It shifted its outlook on French sovereign debt from stable to negative and promised another ratings review by the end of February. It currently rates France as A+. Reasons for the outlook shift are familiar by now, but they centre on the government's failure to improve public finances at a time of weak growth. Let's see whether this unscheduled move

puts much pressure on the OAT-Bund spread today. We would think that the news limits the potential for EUR/USD to rebound on softer energy prices.

We suspect there will be more EUR/USD sellers in the 1.1200/1250 area should it make it that far. The news should also keep EUR/CHF pressured towards Friday's lows at 0.9180/85.

Chris Turner

GBP: 25bp BoE rate hike fully priced for Thursday

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CEE: Central bank divergence meets renewed FX pressure

With the start of a new month, the CEE narrative is becoming more attractive once again. Today, PMI data for the region will be released. Since the onset of the US-Iran conflict, these figures have either remained stagnant or trended upward, indicating that the economies are currently showing strong resilience to the energy shock.

Tomorrow, we will see Turkey's inflation figures for October. Our estimates suggest a monthly acceleration from 1.8% to 2.4%, while the year-on-year figure is expected to tick lower to 29.6%.

On Wednesday, Hungary's industrial production data and the Czech Republic's October inflation figures will be published. We anticipate an acceleration in headline inflation from 2.5% to 2.6%, and a further rise in core inflation from 3.1% to 3.3%. The National Bank of Poland is also expected to keep rates unchanged at 3.75% and present a new forecast. We do not anticipate the first rate hike until the first quarter of 2027.

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meetings. We could see the pair move slightly above 24.350 again.

Frantisek Taborsky

FX

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